



# Cambridge International AS & A Level

## ECONOMICS

9708/32

Paper 3 Multiple Choice

February/March 2022

1 hour 15 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet  
Soft clean eraser  
Soft pencil (type B or HB is recommended)

### INSTRUCTIONS

- ♥ There are **thirty** questions on this paper. Answer **all** questions.
- ♥ For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- ♥ Follow the instructions on the multiple choice answer sheet.
- ♥ Write in soft pencil.
- ♥ Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- ♥ Do **not** use correction fluid.
- ♥ Do **not** write on any bar codes.
- ♥ You may use a calculator.

### INFORMATION

- ♥ The total mark for this paper is 30.
- ♥ Each correct answer will score one mark.
- ♥ Any rough working should be done on this question paper.

This document has **12** pages.

- 1 What can be deduced about an economy where no-one can be made better off without making someone else worse off?

- A Firms succeed in maximising profits.  
 B Production causes no external costs or benefits.  
 C The distribution of income and wealth is perfectly equal.  
 ✓ D The resources of the economy are allocated efficiently.

No statement relates to opportunity cost.

as it will be operating on PPC

- 2 What is equivalent to social benefits?  $SB = PB + EB$

- A the amount that the government spends on social security benefits  
 B the benefit gained by society from total government spending  
 C the benefit to third parties from household consumption of a good  
 ✓ D the private and external benefits from household consumption of a good

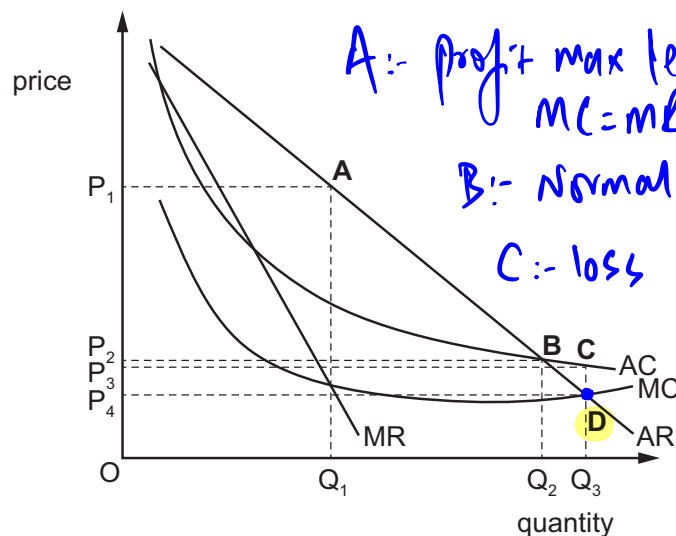
Irrelevant

External benefit formula

- 3 The diagram shows the average cost (AC), marginal cost (MC), average revenue (AR) and marginal revenue (MR) curves for a monopoly.

At which point will allocative efficiency be achieved?

$MC = AR(P)$ , only option 'D'



A:- profit max level of output,  $MC = MR$

B:- normal profit,  $AR = AC$

C:- loss

Law of diminishing MU!

- 4 How can the concept of marginal utility explain the shape of the downward sloping demand curve?

Doesn't change

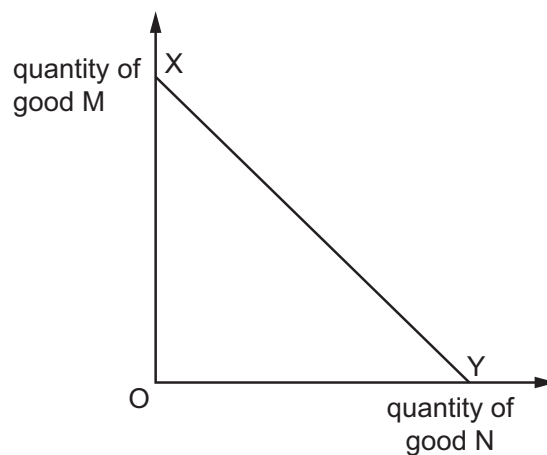
- A Consumer tastes and preferences only change when their spending power increases.  
 ✓ B Extra utility gained from consuming successive units of a good will fall continuously.  $\Delta MU$   
 C Satisfaction of consuming one more unit of a good is greater than the loss of money spent.  
 D Total utility gained from buying more and more units of a good will continue to increase indefinitely.

$MU_x > P_x$  :- consumer surplus

It doesn't,

TU  $\uparrow$  at a decreasing rate because of DMU.

- 5 XY is the budget line of an individual consumer.



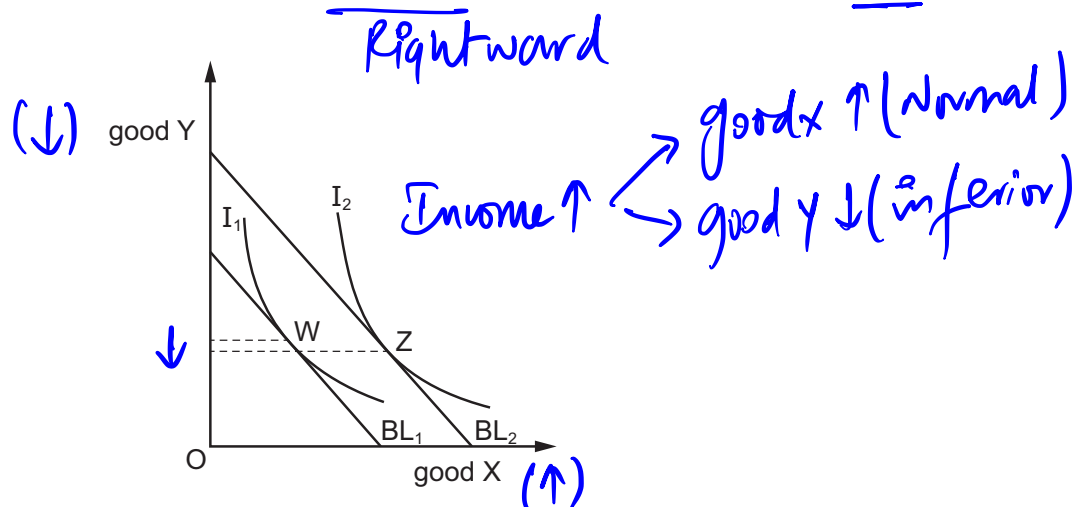
Which changes could leave the position of XY unchanged?

|          | consumer's income | price of good M | price of good N |
|----------|-------------------|-----------------|-----------------|
| <b>A</b> | decrease          | decrease        | increase        |
| <b>B</b> | decrease          | increase        | increase        |
| <b>C</b> | increase          | increase        | decrease        |
| <b>D</b> | increase          | increase        | increase        |

'N' quantity decrease  
 Both quantity reduce  
 Overall 'N', quantity rise  
 Same position  
 Shifts right  
 Both quantities ↑  
 M ↓  
 N ↓

- 6 The diagram shows an indifference map and two budget lines.

When the consumer's budget line shifts from  $BL_1$  to  $BL_2$ , consumption changes from point W to point Z.



What do these changes indicate about the nature of goods X and Y?

|                                       | good X   | good Y     |
|---------------------------------------|----------|------------|
| <input checked="" type="checkbox"/> A | normal ✓ | inferior ✓ |
| <input type="checkbox"/> B            | normal ✓ | normal     |
| <input type="checkbox"/> C            | inferior | normal     |
| <input type="checkbox"/> D            | inferior | inferior ✓ |

- 7 Small farmers supply all their rice production to a single buyer.

Which term best describes this market structure?

- A monopolistic (20-30 small competing firms)  
 B monopoly (highest market share)  
☒ C monopsony  
 D perfect competition

↳ 1000's of firms  
 homogeneous products

A monopsony is a market condition in which there is only one buyer, the monopsonist. Like a monopoly, a monopsony also has imperfect market conditions. The difference between a monopoly and a monopsony is primarily in the difference between the controlling entities.

- 8 A firm operating in an imperfectly competitive market decides to change its objective from sales revenue maximisation to sales volume maximisation.

$MR=0$

Why might it have decided to do this?

*Quantity*

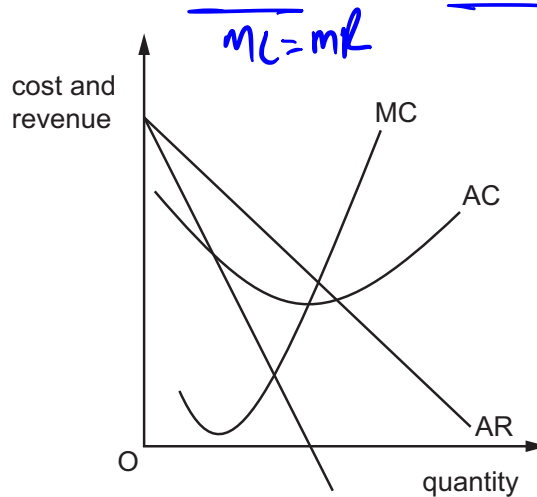
|   | increase short-run profits | maximise short-run market share | minimise short-run average costs |
|---|----------------------------|---------------------------------|----------------------------------|
| A | no ✓                       | no                              | yes                              |
| B | no ✓                       | yes ✓                           | no ✓                             |
| C | yes                        | no                              | yes                              |
| D | yes                        | yes ✓                           | no ✓                             |

at sales revenue maximization

related to productive efficiency

selling max units

- 9 The diagram shows the marginal cost (MC), average cost (AC), marginal revenue (MR) and average revenue (AR) curves of a profit-maximising, monopolistically competitive firm.



(Longrun, firms enter, Demand ↓, substitutes ↑)

Based on its profit, and assuming no market growth, what is likely to happen to the demand for this firm's output in the long run?

- A The short-run profit position will encourage other firms to enter the market and the firm's demand curve will shift to the left.  $D \uparrow$
- B The short-run profit position will encourage other firms to enter the market and the firm's demand curve will shift to the right.  $D \uparrow$
- C The short-run profit position will encourage other firms to exit the market and the firm's demand curve will shift to the left.  $D \downarrow$
- D The short-run profit position will encourage other firms to exit the market and the firm's demand curve will shift to the right.  $D \uparrow$

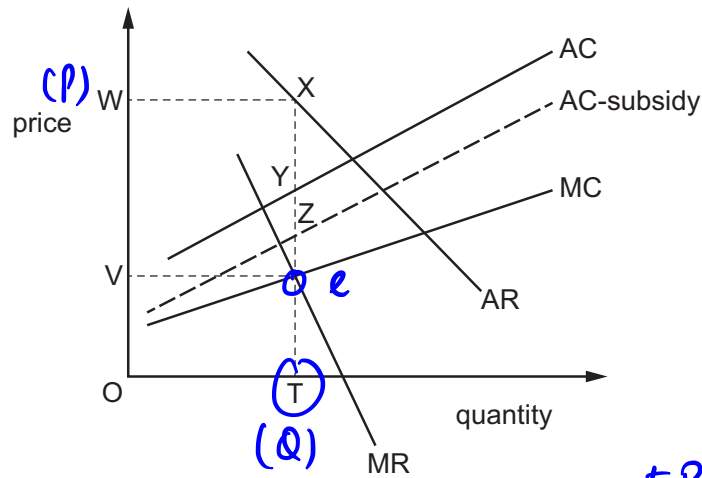
No firm exit in short run ( $AR > AC$ )

Same as above

- 10 A monopoly firm is producing output OT, and selling its product at price OW, thereby maximising its profits, as shown.

$$MC = MR$$

yes, subsidy reduces cost, supply ↑, prices ↓



The government now decides that the firm's operation generates positive externalities, and so gives the firm a subsidy.

$$MC = MR$$

Assuming that the firm continues to seek maximum profit, what will result?

- A The firm continues to produce OT, and price remains at OW.  
 B The firm continues to produce OT, but charges a lower price.  
 C The firm increases production above OT, and reduces price.  
 D The firm reduces production below OT, and reduces price by the amount of the subsidy.

output will change

No

- 11 In many developed economies, large and small firms often exist side by side in the same industry.

What is **most** likely to explain the survival of the small firms?

They don't.

- A They each offer a much wider range of products.  
 B They have a higher minimum efficient scale.  
 C They pay much higher wages to their staff.  
 D They provide a more personal level of consumer service.

lower ATC at higher output

Higher cost

That's why able to survive

Owners vs Managers (Divorce of ownership and control)

- 12 What is generally associated with the principal agent problem?

- A Directors prefer company growth to greater shareholder dividends.  
 B Managers ignore workers' concerns about safety in the workplace.  
 C Shareholders determine the price of products.  
 D Workers go on strike against managers' reorganisation plans.

Read:-

\* The principal-agent problem arises when the interests of a company's owners (the principals) are not aligned with those of its managers (the agents) who make decisions on their behalf. This can lead to conflicts of interest, as managers may prioritize their own goals over the objectives of the company's owners

Unrelated to principal agent problem

Wind power generates electricity without burning fossil fuels, making it cleaner and more environmentally friendly alternative to coal.

### External cost<sup>7</sup>

13 A government wishes to reduce the negative externalities caused by the use of coal.

Which policy should the government use?

- A Impose an indirect tax on the production of hydroelectric power.
- B Increase income tax. affects disposable income
- C Remove any restrictions on coal production. Output ↑
- D Subsidise wind-powered electricity production.

↳ substitute to coal

It is a form of renewable energy that generates electricity by harnessing the energy of moving water, typically from rivers or ocean tides.

14 What would be an example of 'nudge' theory? → a small push!

- A a subsidy on fresh fruit to increase demand
- B a unit tax on unhealthy food to reduce demand
- C banning all unhealthy food to reduce demand
- D putting fresh fruit at eye level in shops to increase demand

Nudge theory suggests that when given two alternatives, people tend to choose the option that is easier and more convenient, rather than one that could lead to better outcomes. In this context, a 'nudge' is essentially a small push that guides people to make decisions that most benefit them in the long term

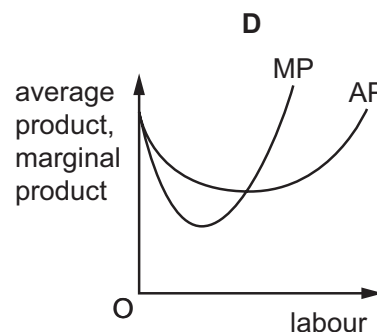
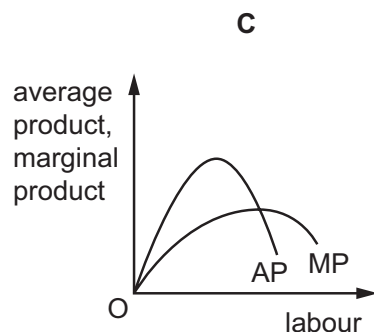
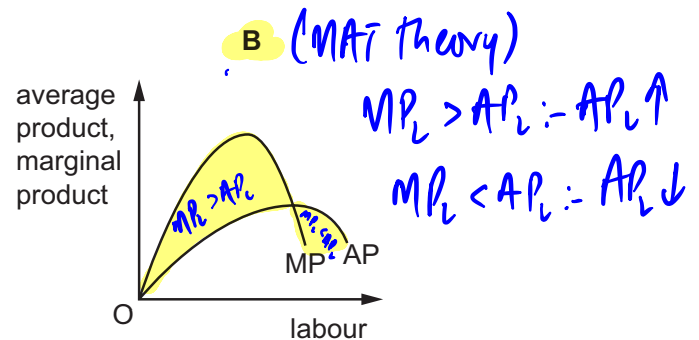
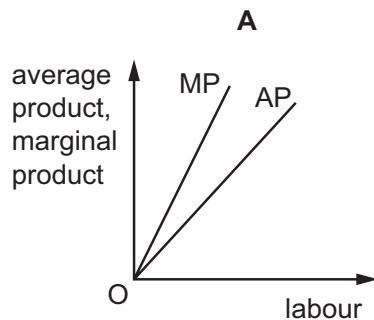
15 When is a policy of income redistribution from rich people to poor people most appropriate?

- A when control of demand-pull inflation is the priority
- B when equality is valued more highly than efficiency
- C when monetary reward is the best incentive to risk-taking
- D when the rich have higher marginal utility curves than the poor

Nothing to relate to redistribution

Equality is valued high represents redistribution is a priority objective!  
high direct tax  
low indirect tax  
Transfer payments.

- 16 Which diagram correctly shows the relationship between the average product (AP) and the marginal product (MP) of labour, given that the quantities of other factor inputs remain constant?



- 17 Wages in industry X are significantly higher than in industry Y.

What could explain this difference?

- A** Workers in industry Y are highly mobile. *wages ↑ in Y*
- B** Trade union organisation in industry Y is relatively strong. *wages ↑ in Y*
- C** Industries X and Y compete with each other for workers. *wages ↑ because of competition to attract workers*
- D** Industry Y has non-monetary advantages. *non-financial*

- 18 Economic growth has both benefits and costs.

In which situation would living standards be judged to have definitely increased?

- A** As countries became industrialised, economic growth led to a fall in hours worked, as well as a rise in real incomes. *Benefit*
- B** China had a huge rise in real GDP per head in the last 20 years but there was a decrease in air quality in urban areas. *Quality of life ↓, living standards ↑*
- C** Economic growth in high-income countries has seen childhood obesity increase, but has also seen increased resources devoted to its treatment. *↳ living standard ↓*
- D** The 1990s saw a significant rise in real GDP per head in the US with only a relatively small increase in the Gini coefficient during the same period. *↳ inequality ↑*

*Small but inequality rise*



Similar to transfer payments

19 What is not included in National Income accounts?

- ☒ A a gift by a parent to her daughter as a deposit on an apartment (Personal transfer)
- ☐ B earnings of a part-time worker in a school dining room
- ☐ C interest earned on savings accounts intended for retirement
- ☐ D profits re-invested by a company to fund capital expenditure

recorded,  
service in  
return.

FDI

20 A government wishes to attract foreign direct investment to assist the development of its economy.

→ MNC's

What is most likely to encourage this?

- ☐ A improved health and safety standards for workers → Maintaining it is a cost
- ☐ B increased import quotas → more imports allowed
- ☒ C increased spending on infrastructure → cost ↓ (Benefit) (MNC's)
- ☐ D introducing a minimum wage → wages ↑, cost ↑

21 Which indicator is least likely to be used when measuring the comparative economic development of a country?

- ☐ A adult literacy rate
- ☐ B average life expectancy at birth
- ☐ C level of real GNP per head
- ☒ D size of population

most likely, covers:-  
Education  
Health  
Inflation  
Income  
population

frictional

22 Which term is given to short-term unemployment when people are changing jobs?

- ☐ A cyclical (Demand deficient unemployment) (AD ↓)
- ☒ B frictional (in between jobs)
- ☐ C seasonal (given time of a year)
- ☐ D voluntary

Voluntary unemployment is a situation when a person is unemployed not due to unavailability of jobs in the economy, but because of not being able to find employment of his/her own choice.

Seasonal unemployment occurs when people are unemployed at particular times of the year when demand for labour is lower than usual. Seasonal unemployment refers to a temporary window of time where the number of available employment opportunities decreases.

23 The table shows data for an economy's labour market.

|                                                                                    | million |
|------------------------------------------------------------------------------------|---------|
| number of people of working age                                                    | 42.7    |
| number of people of working age who are actively seeking work, but are not working | 2.2     |
| number of people of working age who are not actively seeking work                  | 9.4     |

$$\frac{42.7}{42.7 + 2.2} \times 100 = 95\%$$

What is the economy's percentage employment rate, to the nearest whole number?

- A 5%      B 23%      C 73%      ☒ D 95%

24 Rapid economic growth is claimed by some to harm the environment.

Which outcome would not harm the environment?

- A the greater mobility of workers resulting from increased vehicle ownership  
☒ B the increased levels of income that reduce fertility rates and family size  
C the relocation of workers from agricultural to manufacturing employment  
D the use of improved technology to access previously inaccessible natural resources

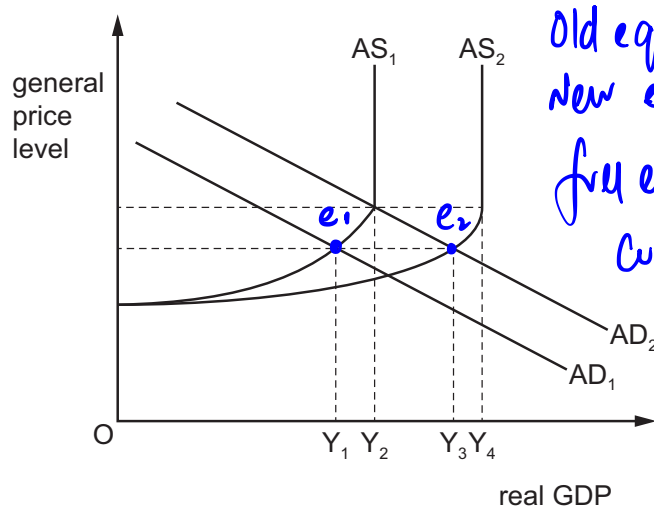
More manufacturing, external cost

External cost

Benefit

extraction External cost

25 The diagram shows an increase in both aggregate demand from  $AD_1$  to  $AD_2$  and aggregate supply from  $AS_1$  to  $AS_2$ .



Old equilibrium :-  $e_1$

New equilibrium :-  $e_2$

full employment now :-  $Y_4$

Current output :-  $Y_3$

Gap :-  $Y_3 Y_4$

What shows the output gap after the increase in AD and AS?

- A  $Y_1 Y_2$       B  $Y_1 Y_3$       C  $Y_2 Y_3$       ☒ D  $Y_3 Y_4$

A, B and D is 'monetarists'

11

26 Which statement would be associated with Keynesian economic theory?

- A A change in the money supply is the main determinant of the rate of inflation.
- B When unemployment falls below its natural rate, there is upward pressure on prices.
- ✓ C Total spending in the economy affects real output and employment in the short run. *Keynesian*
- D Wages and prices are flexible so output and employment will always return to its equilibrium rate.

27 In a closed economy with no government sector, the multiplier shows the impact of a change in

- A consumption on investment.
- ✓ B investment on national income. →  $\frac{\Delta RNI}{\Delta I}$  (Remember 2 sector multiplier example)
- C national income on consumption.
- D national income on investment.

28 In year 1, countries X and Y are each in balance of payments equilibrium. In year 2, country X, an exporter of oil, raises the price of its oil, which increases its foreign earnings by \$500m, half of which is deposited with banks in country Y.Country Y is an important buyer of X's oil and the price rise increases its foreign expenditure by \$400m.Other things remaining equal, what are the total currency flows for X and Y?

|     | X (\$m) | Y (\$m) |
|-----|---------|---------|
| A   | +150    | -150 ✓  |
| B   | +150    | -400    |
| ✓ C | +250 ✓  | -150 ✓  |
| D   | +250 ✓  | -400    |

X, earning \$500m → Half with 'Y' → so, for X, +250

Y, expenditure → \$400m (-ve) → +250

-150

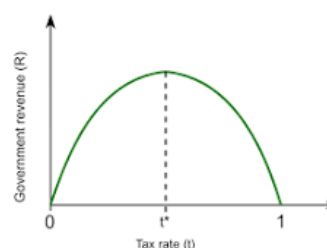
29 What does the Laffer curve show?

- A the relationship between the rate of inflation and the rate of unemployment *Phillips curve*
- B the relationship between the rate of interest and the speculative demand for money
- ✓ C the relationship between tax rates and the amount of tax revenue collected by governments
- D the relationship between how two goods can be produced in an economy with given resources

Money demand /  
Liquidity  
Preference

→ PPC

The Laffer Curve is a tax theory suggesting an inverted U-shaped relationship between tax rates and the amount of tax revenue collected by governments. The ideal, or optimal, rate of taxation for an economy is the one that falls right at the top of the inverted U.



30 The table shows key macroeconomic indicators for four countries in 2018.

|               | economic growth<br>(% change in<br>GDP per annum) | unemployment<br>rate (%) | inflation rate<br>(% change in CPI<br>per annum) | current account<br>balance<br>(% of GDP) |
|---------------|---------------------------------------------------|--------------------------|--------------------------------------------------|------------------------------------------|
| Argentina     | -6.2                                              | 9.1                      | 50.7                                             | -4.8                                     |
| China         | 6.4                                               | 3.8                      | 1.5                                              | 0.4                                      |
| Italy         | 0                                                 | 10.7                     | 0.9                                              | 2.6                                      |
| United States | 3.0                                               | 3.8                      | 1.5                                              | -2.4                                     |

What can be concluded from the table?

A Countries with current account surpluses had low unemployment rates.

*No, see Italy*

B Countries with high economic growth rates had high inflation rates.

*No, see China*

☒ C Countries with low economic growth rates had high unemployment rates.

*Yes, see Argentina and Italy*

D Countries with positive economic growth rates had current account deficits.

*↳ No, see China, growth rate +ve, current account 0.4 (surplus)  
US, growth rate +ve, current account -2.4 (deficit)*

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| <b>Question</b> | <b>Answer</b> | <b>Marks</b> |
|-----------------|---------------|--------------|
| 1               | D             | 1            |
| 2               | D             | 1            |
| 3               | D             | 1            |
| 4               | B             | 1            |
| 5               | D             | 1            |
| 6               | A             | 1            |
| 7               | C             | 1            |
| 8               | B             | 1            |
| 9               | A             | 1            |
| 10              | C             | 1            |
| 11              | D             | 1            |
| 12              | A             | 1            |
| 13              | D             | 1            |
| 14              | D             | 1            |
| 15              | B             | 1            |
| 16              | B             | 1            |
| 17              | D             | 1            |
| 18              | A             | 1            |
| 19              | A             | 1            |
| 20              | C             | 1            |
| 21              | D             | 1            |
| 22              | B             | 1            |
| 23              | D             | 1            |
| 24              | B             | 1            |
| 25              | D             | 1            |
| 26              | C             | 1            |
| 27              | B             | 1            |
| 28              | C             | 1            |

| <b>Question</b> | <b>Answer</b> | <b>Marks</b> |
|-----------------|---------------|--------------|
| 29              | C             | <b>1</b>     |
| 30              | C             | <b>1</b>     |